SANCHEZ, et al v SIMPSON, JR., et al

22CV46351

PLAINTIFFS' MOTION FOR INDIRECT CONTEMPT AND INJUNCTIVE RELIEF

This civil action stems from allegations of fraud and elder abuse and the transfer of real property brought by Antone Sanchez ("Tone[1]"), Carol Sanchez ("Carol"), and Linda Andrus ("Linda") ("Plaintiffs") against Russel Simpson, Jr. and Stacy Simpson ("Simpsons") and Placer Title Company, Inc. Before the Court is Plaintiffs' motion to hold Defendant' in contempt pursuant to Code of Civil Procedure section 1209(a)(5). Plaintiff also moves the Court to enforce or reconsider the December 2, 2022, temporary restraining order.

On March 29, 2024 the Court ordered this matter to expedited arbitration pursuant to the Residential Purchase Agreement ("RPA") signed by the parties. While an arbitration case has apparently been opened, the parties state that no arbitrator has been selected.

When a matter is matter is referred to arbitration, the Court does not automatically lose all jurisdiction over the case. (*Dial 800 v. Fesbinder* (2004), 118 Cal.App.4th 32, 44.) The Court retains jurisdiction to provide provisional remedies such as injunctions, protective orders, and appointments of receivers. (Code Civ. Proc. § 1281.8(a).)

For the reasons set forth below, Plaintiffs' motions are **DENIED**.

I. Factual and Procedural Background

A. Background Facts

Tone and Carol were married in or around 1973 or 1974. In 1986, Tone and Carol purchased 7588 Red Hill Road, Angels Camp, CA 95222 ("Red Hill Property"). In 2018, Carol began to suffer from dementia and Tone was give Durable Power of Attorney to manage Carol's affairs.

In 2020, Tone invited his ex-wife Linda Andrus to move in with him and Carol. Also in 2020, Tone, Carol and Linda all went on title to the Red Hill Property.

At some point, Tone and Linda became friends with their neighbors, the Simpsons. Rusty Simpson is also apparently Tone's distant cousin. Rusty and Tone entered into some handshake-deals involving mining and Stacy would often check in on Plaintiffs.

[1] For ease of reference, the Court refers to the parties buy their first names. No disrespect is intended.

In April 2022, Plaintiffs started discussing and planning to sell their Red Hill Property. They intended to move to Wyoming and to use the proceeds from the sale of the Red Hill Property for their new Wyoming home.

On or about June 16, 2022, the Simpsons along with a notary went to the Red Hill Property and presented closing documents drafted by Placer Title for the Plaintiffs to sign. At one point, Linda told Rusty that she was not going to sign any more documents because she did not know what they said and he was not explaining them to her - she cannot read or write and is generally illiterate. Rusty became angry with Linda and scared her into signing the documents. Title then passed to the Simpsons.

In August 2022, Plaintiffs named the Simpsons their agents for their Durable Powers of Attorney.

Plaintiffs then took some of their personal property to Wyoming to their new home. Upon returning to California and to the Red Hill Property, they found the gate at the end of the driveway was closed and locked. Plaintiffs were confused because they still had significant amounts of personal property on the Red Hill Property, none of which was to be included in the sale. When asked, the Simpsons informed Plaintiffs that they were forbidden from entering the Red Hill Property and ceased any form of friendly communication.

Plaintiffs revoked their Durable Powers of Attorney and personally served copies of the revocations with a letter of explanation through a process server on August 31, 2022. In September of 2022, the Simpsons began selling Plaintiffs' personal property on Facebook. The Simpsons also refused to allow Linda access to her diabetes medication that was on the Red Hill Property.

Plaintiffs subsequently filed a Verified Complaint for: 1) Fraud, 2) Unconscionable Contract, 3) Conversion, 4) Elder and Dependent Abuse, 5) Breach of Covenant of Good Faith and Fair Dealing, and 6) Imposition of Constructive Trust.

B. Procedural History

Based on the initial papers, on October 22, 2022, this Court issued in Plaintiffs' favor a TRO, barring Defendants from (1) selling the property, (2) selling or otherwise disposing of Plaintiffs' personal effects left at the property, and/or (3) altering the property without Plaintiffs' consent. On December 2, 2022, the Court ruled on Plaintiffs' motion for preliminary injunction after neither party submitted additional briefing. In that ruling, the Court granted the motion but only as to the provision in the TRO relating to personal property. Specifically, the Court ordered:

> Defendants are hereby ordered not to sell, donate, move, secret, convert, or dispose of in any way plaintiffs' personal items left at the real property following the close of escrow, some of which (but not all) are identified in Exhibit 4 to the complaint (incorporated herein by reference).

In that ruling, the Court found that Plaintiffs had not presented sufficient evidence of a likelihood of prevailing on any cause of action other than conversion of personal property. However, the order did direct Defendants to pay a counterbond in the amount of $50,000.00.

On March 29, 2024, the Court ordered this matter to expedited arbitration. According to the parties, the arbitration has not commenced and no arbitrator has been selected.

II. Legal Standard and Analysis

A. Contempt

An indirect contempt proceeding is commenced by the filing of an affidavit and a request for an order to show cause. (*Cedars-Sinai Imaging Medical Group* (2000) 83 CA4th 1281, 1286; Code of Civ. Proc. §1211(a).) If, after notice to the opposing party's counsel, the Court is satisfied with the sufficiency of the affidavit, it must sign an Order to Show Cause re Contempt in which the date and time of the hearing are set forth.

The "disobedience of any lawful judgment, order or process of the court," is considered a contempt of the authority of the Court. (Code Civ. Proc. § 1209, subd. (a)(5).)
In order to establish jurisdiction in a contempt proceeding, Plaintiff must show the 1) making of the order, 2) knowledge of the order, 3) ability of the accused to render compliance, and 4) willful disobedience of the order. (*In re Ny* (1962), 201 Cal.App.2d 728, 731.)

Here Plaintiffs' counsel has filed an affidavit as part of the motion to have Defendants held in contempt. Counsel avers that Defendants have failed to post the required counterbond of $50,000 and to protect Plaintiff's personal property. (Declaration of Vanessa Amador ("Amador Decl.") ¶ 7.) While Plaintiffs have shown that there was an order requiring a $50,000 counterbond and that Defendants were aware of that order, Plaintiffs have not demonstrated an ability by Defendants to comply with the Order or willful disobedience of that order. Per the declaration of Defendants' counsel, the Defendants have been unable to obtain the counterbond without $50,000 in cash collateral and shared this information with Plaintiffs' counsel. (Declaration of Travis Owens ("Owens Decl.") ¶ 10, Ex. H.) Notably, Plaintiffs do have a *lis pendens* recorded on the real property regardless of the counterbond.

Plaintiffs have not shown that the Defendants have an ability to obtain the $50,000 counterbond nor that they have willful refused to attempt to do so. Accordingly, the affidavit and motion are insufficient to mandate the Court order a show cause hearing on Defendants' alleged contempt and the Motion for Indirect Contempt is **DENIED**.

B. Motion for Reconsideration under CCP Section 1008

Motions for reconsideration per section 1008(a) must be based upon “new or different facts, circumstances, or law” regarding the underlying motion that moving party failed to previously offer. (*New York Times Co. v. Superior Court* (2005) 135 Cal.App.4th 206, 212.) Failure to show new facts or law is jurisdictional; a motion for reconsideration that does not offer any new fact as to the merits of the underlying motion must be denied. (*Kerns v. CSE Ins. Group* (2003) 106 Cal.App.4th 368, 380.)

Plaintiffs ask the Court to reconsider its December 2nd ruling in which it granted an injunction as to the personal property but denied the injunction as to the real property. Plaintiffs have not presented sufficient evidence of new or different facts that would warrant reconsideration of the Court’s previous order.

Accordingly, the motion for reconsideration is **DENIED**.

III. Conclusion

Plaintiffs’ motion to hold Defendants in contempt and for reconsideration of the Court’s December 2, 2024, ruling is **DENIED**.

The Clerk shall provide notice of the Ruling forthwith. Defendants to prepare a formal Order conforming to this Ruling pursuant to Rule 3.1312..

WELLS FARGO BANK, NA v DAVIS

23CF14230

PLAINTIFF’S MOTION FOR JUDGMENT ON THE PLEADINGS

This is an action by Wells Fargo Bank, N.A. (“Plaintiff”) against Bill P. Davis (“Defendant”) for the collection of a credit card debt in the sum of $7,858.48. In his Answer, Defendant did not deny the allegation in the Complaint that he owes the credit card debt but stated that he cannot afford to pay the debt. Now before the Court is Plaintiff’s motion for judgment on the pleadings.

I. Legal Standard

A motion for judgment on the pleadings may be made upon the grounds that the complaint states facts sufficient to constitute a cause of causes of action against the defendant and the answer does not state facts sufficient to constitute a defense to the complaint. (Code Civ. Proc. § 438(c)(1)(A).) The court must accept as true the factual allegations of the complaint and must give them a liberal interpretation. (*Gerawan Farming, Inc., v. Lyons* (2000), 24 Cal. 4th 468, 515-516.) In addition, the court is limited in its consideration to the face of the pleadings or matters entitled to judicial notice. (Code Civ. Proc.§ 438(d).)

II. Legal Analysis

Plaintiff’s Complaint alleges: (1) breach of written contract; (2) breach of contract (Implied in Fact); (3) money lent/money paid; (4) open book account; and (5) account stated.

A. Breach of Express or Implied Contract

A breach of contract claim requires: 1) the existence of a contract, 2) plaintiff’s performance or excuse for nonperformance, 3) defendant’s breach, and 4) the resulting damages to the plaintiff. (*San Mateo Union High Sch. Dist. v. Cnty. of San Mateo*, (2013) 213 Cal. App. 4th 418, 439.) “Where contract language is clear and explicit and does not lead to absurd results, we ascertain intent from the written terms and go no further.” (*Shaw v. Regents of Univ. of Cal*., (1997) 58 Cal. App 4th 44, 53.)

Plaintiff alleges that Plaintiff and Defendant entered into a contract for a consumer credit card. (Complaint p. 3, iBC-1.) The Complaint alleges that pursuant to the contract, Plaintiff provided credit and Defendant used that credit to make consumer purchases. The Complaint next alleges that Defendant breached the contract by failing to make